

Multiple Choice

1. **Answer:** C

Options: A) is ignored.; B) appears in the capital account.; C) appears in the current account; D) is included in the official reserves.

Note: Correct option: C - appears in the current account

2. **Answer:** C

Options: A) Increasing Increasing; B) Increasing Decreasing; C) Decreasing Increasing; D) Decreasing Unchanged

Note: Correct option: C - Decreasing Increasing

3. **Answer:** B

Options: A) an increase in the real interest rate; B) increased investment in capital; C) an increase in aggregate demand; D) an increase in the unemployment rate

Note: Correct option: B - increased investment in capital

4. **Answer:** A

Options: A) diminishing marginal utility; B) diminishing marginal returns; C) the Fisher effect; D) diminishing returns to scale

Note: Correct option: A - diminishing marginal utility

5. **Answer:** A

Options: A) A decrease in taxes and a lower discount rate; B) An increase in government spending and an increase in taxes; C) A decrease in taxes and selling bonds in an open market operation; D) An increase in government spending and an increase in the discount rate

Note: Correct option: A - A decrease in taxes and a lower discount rate

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The equilibrium price level and quantity of output increase.'

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'inflation and unemployment.'

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Allocative efficiency'.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** A perfectly vertical supply curve.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Inflation. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key